

Member ID: _____

Time: _____

Rank: _____



Fundamental Accounting

(100)

NATIONAL 2025

CONCEPT KNOWLEDGE:

Multiple Choice (40 @ 2 points each) _____ (80 points)

APPLICATION KNOWLEDGE:

Short Answer (16 @ 3 points each) _____ (48 points)

Job 1: Depreciation _____ (30 points)

Job 2: Inventory Costing _____ (41 points)

Job 3: Effects on Net Income _____ (60 points)

TOTAL POINTS _____ ***(259 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

The test is divided into two parts, and you **MUST** complete both parts. You will have 90 minutes to complete your work.

PART ONE Instructions: Concept Knowledge

1. Open Google Chrome and navigate to compete.bpa.org.
2. Click on the Secondary Division Competitions button.
3. Enter your BPA Member ID (8-digits) and Password to access your test questions.
4. Answer all questions and submit your test.
5. Move on to Part Two.

PART TWO: Application Knowledge

Complete the questions in the rest of this test booklet by filling in the PDF.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

SHORT ANSWER PROBLEMS – 48 points

1. Oak Industries has the following age of its accounts receivable at the end of the year. Below each is the estimated percentage that will be uncollectible for each bracket. The Allowance for Uncollectible Accounts has a debit balance of \$625 before adjustments.

<u>Account</u>	<u>Balance</u>	<u>Current</u>	<u>1-30</u>	<u>31-60</u>	<u>Over 60</u>
Total	\$82,610	\$57,920	\$18,744	\$1,846	\$4,100
Percentage		0.5%	1.5%	20%	50%

- What is the total estimated uncollectible accounts? _____
 - What account will be debited on the adjusting entry? _____
 - What account will be credited on the adjusting entry? _____
 - What is the amount of the end of the year adjusting entry? _____
2. Maple Furniture Inc. shows the following financial data for 2025.
 Beginning Capital Stock – 40,000 shares, \$10 par value; total \$400,000
 Issued on May 15th – 10,000 shares, \$10 par value @ \$12 per share; total \$120,000
 Beginning Retained Earnings - \$297,365
 Net Loss for 2025 - \$24,120
 Dividends declared during 2025 - \$0.25 per share, January 15th and April 15th; \$0.15 per share on July 15th and October 15th.
- How much did Maple Furniture declare in dividends for 2025? _____
 - What is the net decrease in Retained Earnings for 2025? _____
 - What is the ending balance of Retained Earnings? _____
 - Balance of Stockholders' Equity shown on the Balance Sheet _____
3. Kim Chung and Andrea Lopez own Birch Nursery, a partnership. During 2025, Birch Nursery shows a net income of \$147,640. The partnership agreement shows a profit/loss split of 60% for Chung, and 40% for Lopez.
- What is the net income split for Chung? _____
 - What is the net income split for Lopez? _____

4. On November 21st, 2025, Spruce it Up, Inc. signs a 90-day, 6.15%, \$4,500 note with State Bank. Find the following for Spruce it Up, Inc.:

- Account(s) debited on November 21st _____
- Account(s) credited on November 21st _____
- Maturity date of the note _____
- Interest Expense for 2025 _____
- Total interest on the note _____
- Maturity value of the note _____

JOB 1 – DEPRECIATION – 30 points

Directions: Use the following information to complete depreciation table for both the straight line and double-declining balance methods of depreciation.

Sycamore Plumbing buys two plant assets during 2025. The 1st is a piece of equipment bought on January 9, 2025, for \$10,000. The equipment has a five-year life with a salvage value of \$1,000.

	Straight Line			Double-declining Balance		
Equipment	Annual Depreciation	Accumulated Depreciation	Ending Book Value	Annual Depreciation	Accumulated Depreciation	Ending Book Value
2025						
2026						
2027						
2028						
2029						

JOB 2 – INVENTORY COSTING – 41 points

Willow Electronics shows the following beginning inventory and purchases for 2025. Use FIFO, LIFO, and Weighted Average to find the cost of ending inventory.

Directions for FIFO Table 1: Find the Total Cost for beginning inventory and each purchase in the table below. Using the ending inventory quantity of 72, determine FIFO units on hand and FIFO cost. Total the units purchased, total cost, FIFO units and FIFO cost columns. Show the total FIFO cost at the bottom of the page.

Purchase Dates	Units Purchased	Unit Price	Total Cost	FIFO Units On Hand	FIFO Cost
Jan 1 beginning inventory	38	7.65			
Feb 18 purchase	42	8.14			
May 30 purchase	50	8.98			
Sept 14 purchase	45	9.21			
Dec 6 purchase	40	9.50			
Totals					

Directions for LIFO Table 2: Find the Total Cost for beginning inventory and each purchase in the table below. Using the ending inventory quantity of 72, determine LIFO units on hand and LIFO cost. Total the units purchased, total cost, LIFO units and LIFO cost columns. Show the total LIFO cost at the bottom of the page.

Purchase Dates	Units Purchased	Unit Price	Total Cost	LIFO Units On Hand	LIFO Cost
Jan 1 beginning inventory	38	7.65			
Feb 18 purchase	42	8.14			
May 30 purchase	50	8.98			
Sept 14 purchase	45	9.21			
Dec 6 purchase	40	9.50			
Totals					

Directions for Weighted Average: Using the information from the tables above, find the ending inventory cost using the weighted average method. Complete the table below showing the total cost using each inventory costing method.

Method	FIFO	LIFO	Weighted Average
Total Ending Inventory Cost			

JOB 3 – EFFECTS ON NET INCOME – 60 points

Directions: Selected transactions for Pear Repair, Inc. are shown below. Analyze each transaction and its effect on the 2025 Income Statement. Complete the table on the next page, determining whether the effect of each transaction is an increase to net income, a decrease to net income, or has no effect on net income **for the year 2025**. Then identify the amount of the increase or decrease. If there is no effect, enter zero.

1. April 15 – Paid Federal Income, Social Security, and Medicare tax liabilities for the month of March. The total amounted to \$3,725.
2. April 30 – Issued 100 shares of common stock, \$10 par value, for \$12 per share.
3. June 25 – Purchased equipment with a \$24,000 cost, paying cash in full. The equipment has a useful life of 5 years, with a salvage value of \$2,000. Pear Repair uses the straight-line method of depreciation.
4. August 24 – Performed repairs for Julian Sanchez worth \$630, plus 7.5% sales tax. Terms of sale were 2/10, n/30.
5. September 1 – Received cash from Julian Sanchez on account to pay what was owed from the August 24th sale.
6. September 30 – Declared a dividend of \$1.25 per share. Pear Repair has 25,500 shares of stock issued and outstanding.
7. October 6 – Paid the payroll. Total earnings are \$6,680; Deductions include Federal Tax at an average of 18.2%, Social Security Tax of 6.2% and Medicare Tax of 1.45%.
8. October 6 – Recorded employer payroll taxes on the payroll from the prior entry. The Federal Unemployment tax rate is 0.8%, and the State Unemployment tax rate is 5.4%. Earnings subject to unemployment tax are \$1,250.
9. October 30 – Paid the dividend declared on September 30th.
10. November 11 – Received a 90-day, 5.5% promissory note from Kelsey Clayton for past-due accounts receivable in the amount of \$3,450.
11. November 30 – Received bankruptcy notice on Sam Aikens. Sam had a \$680 accounts receivable balance. Pear Repair uses the Allowance method of Accounts Receivable.
12. December 1 – paid \$4,000 for December rent.
13. December 1 – Purchased 3-month insurance policy for \$3,000.
14. December 1 - Performed repair services for Jamonica Wales worth \$765, plus 7.5% sales tax. Jamonica paid cash at the time of the services.
15. December 30 – Received \$7,500 cash for repair work which will be done in the first two weeks of January 2026.

Transaction Number	Effect on Net Income - Increase, Decrease, None	Amount of Effect
1		
2		
3		
4		
5		
6		
7		
8		
9		
10		
11		
12		
13		
14		
15		